



Sustainability Reporting: ***GRI Perspective***

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GRI's purpose and impact

Who we are

- GRI is an **independent, international standard setter** providing the **global common language** for transparency on sustainability impacts.
- We help organizations understand and communicate their **sustainability impacts**. In doing so we enable dialogue between organizations and their stakeholders.
- We deliver the **GRI Standards**, the world's most widely adopted sustainability reporting framework – which is **freely provided** as a **public good** and translated into **10 languages**.
- GRI is a **not-for-profit** organization and activities are funded through services we deliver and by governmental and other funders that support our work.

Our impact

78%

of the **largest 250 companies** in the world reporting on sustainability use GRI

10,000+

organizations publish a **GRI report**

970,000

unique downloads of the GRI Standards in 2021, a **45% rise** on previous year

More than 80

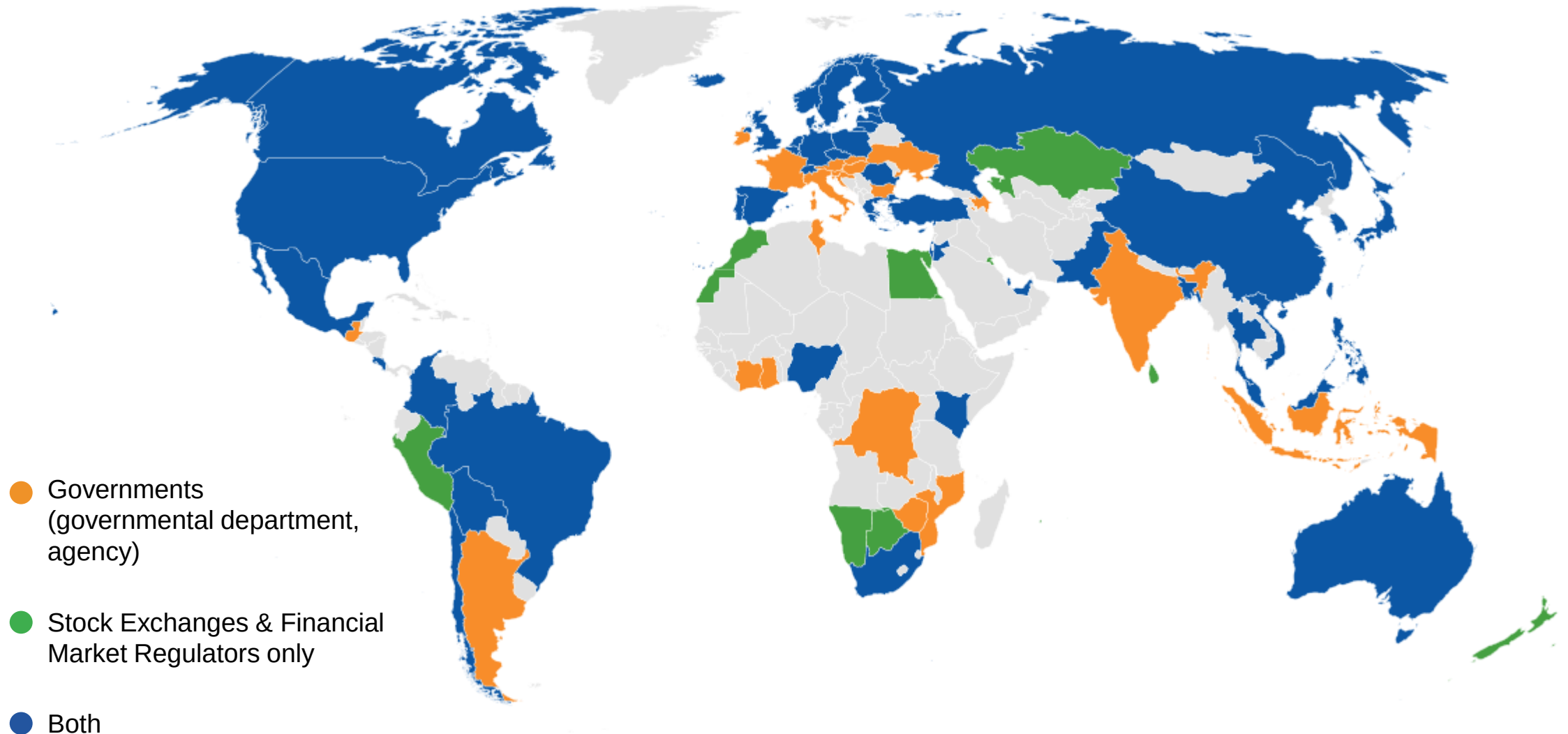
training partners across **57 countries** offer GRI Certified Training Courses

and train **7000+** professionals per year

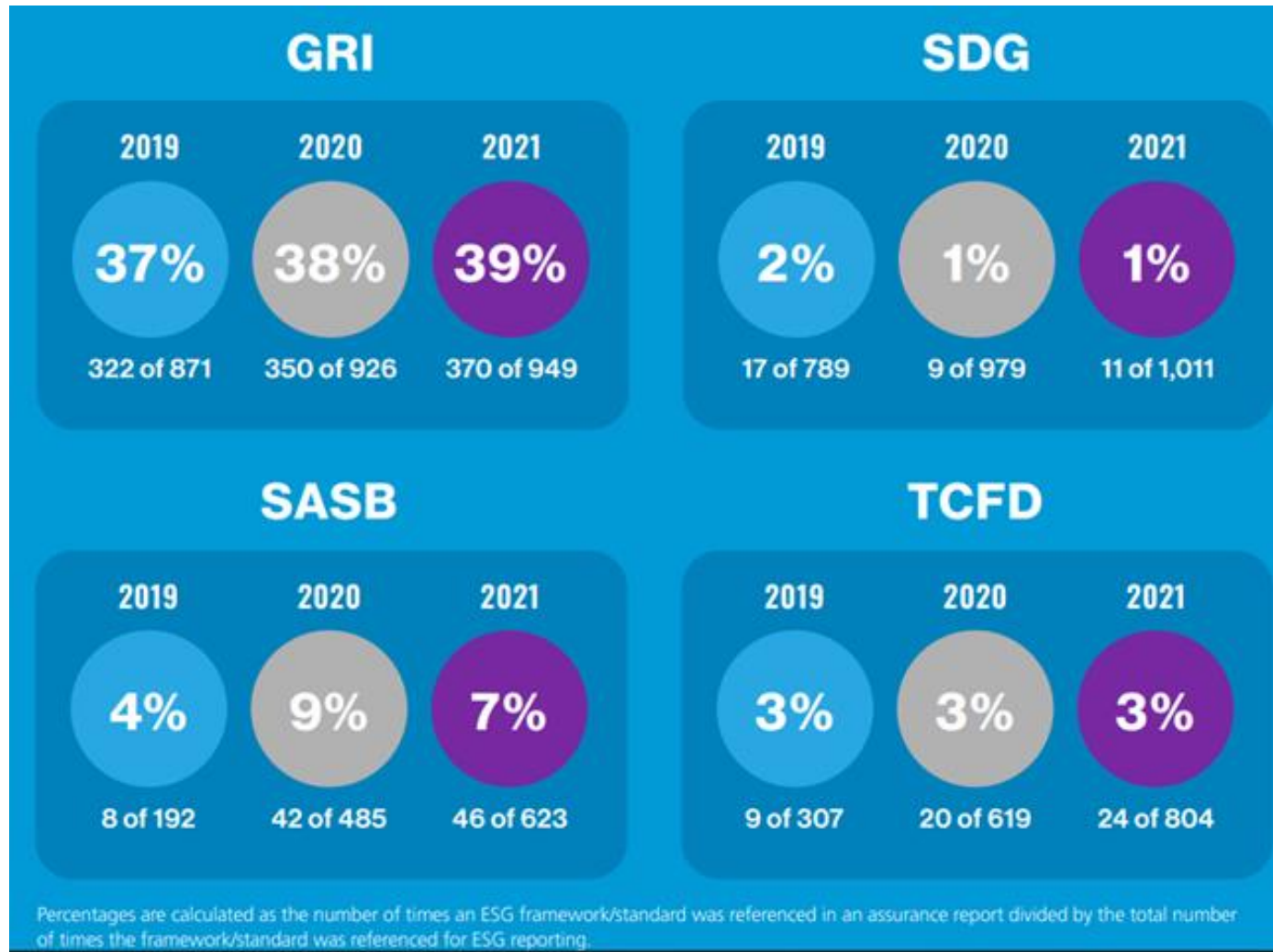
GRI Standards & policy



More than 160 policies in over 60 countries and regions reference or require GRI for reporting



Update on the sustainability reporting landscape



‘Information disclosed in accordance with GRI Standards is assured more often than any other reporting framework or standard’

Assessed are 1,350 companies in 21 countries, finding 74% report using the GRI Standards.

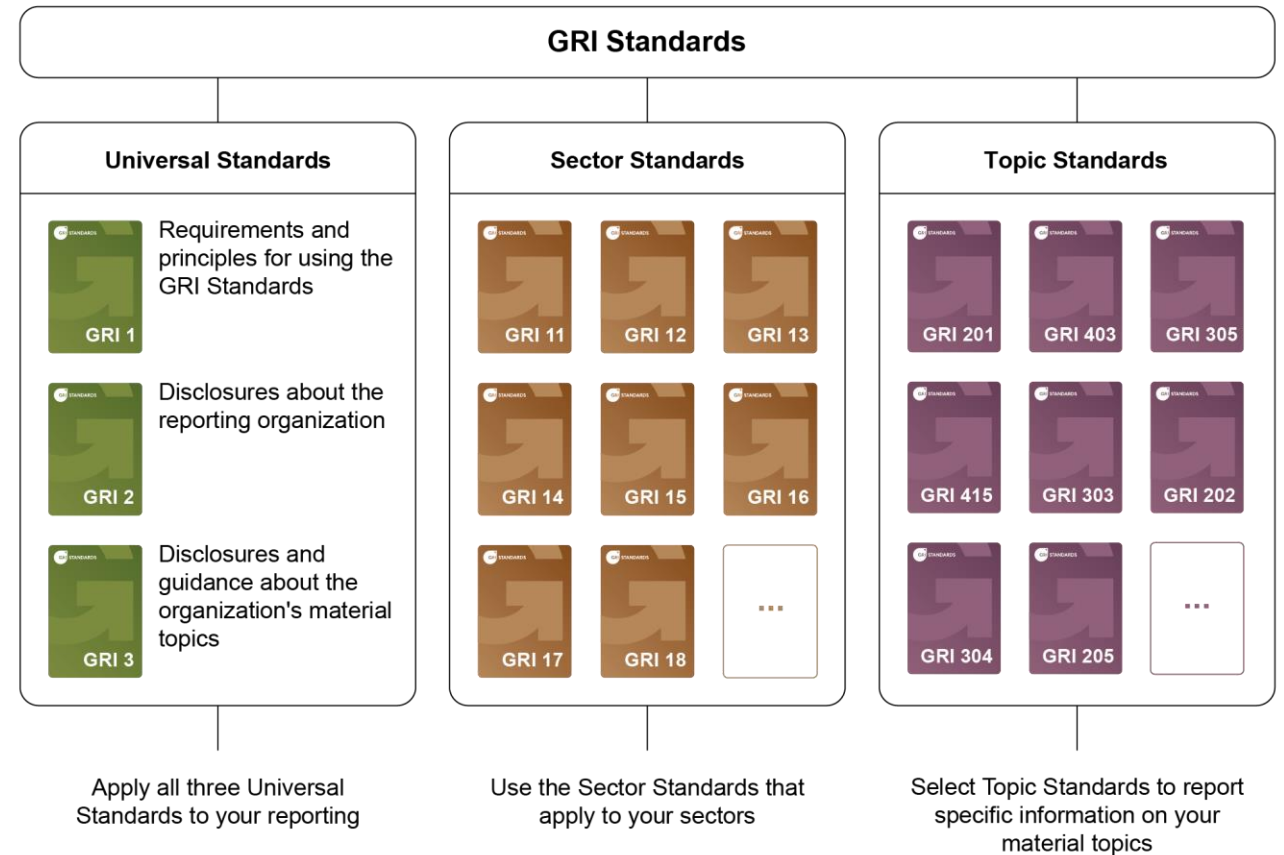


The GRI Standards

The GRI Standards



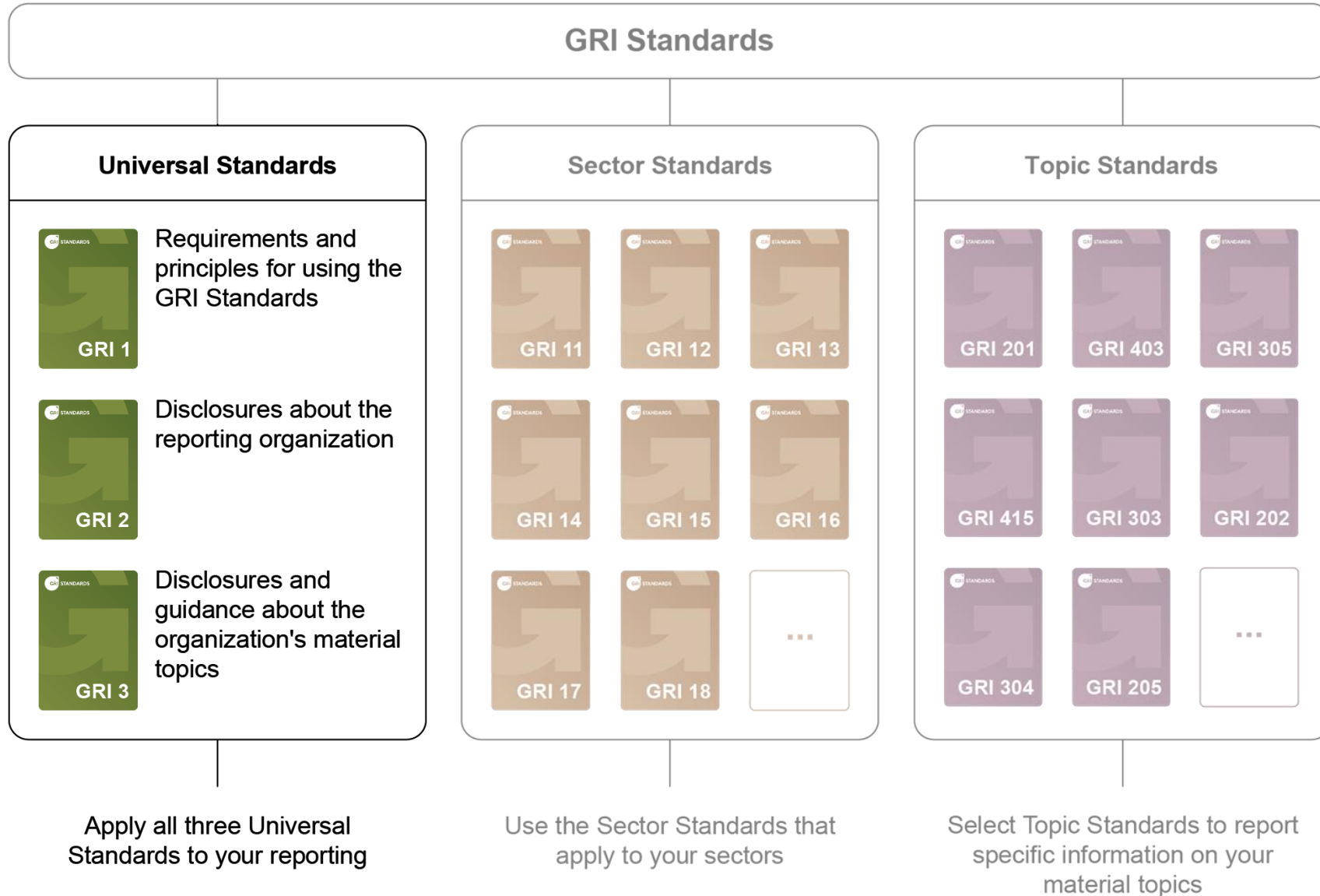
- The GRI Standards are a **modular system** comprising three series of standards:
 - revised **Universal Standards**
 - new **Sector Standards**
 - adapted **Topic Standards**



The GRI Standards



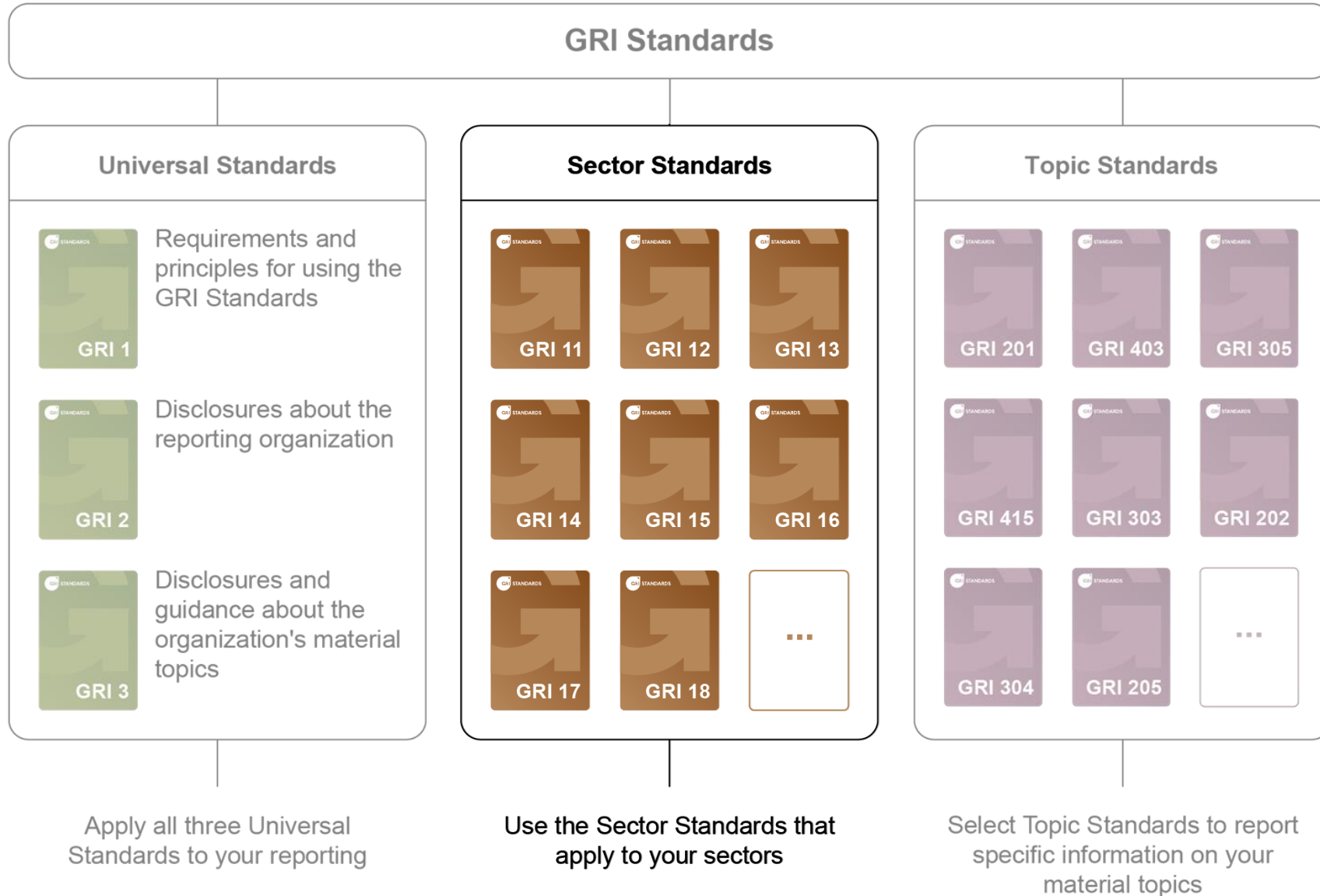
Universal Standards



The GRI Standards



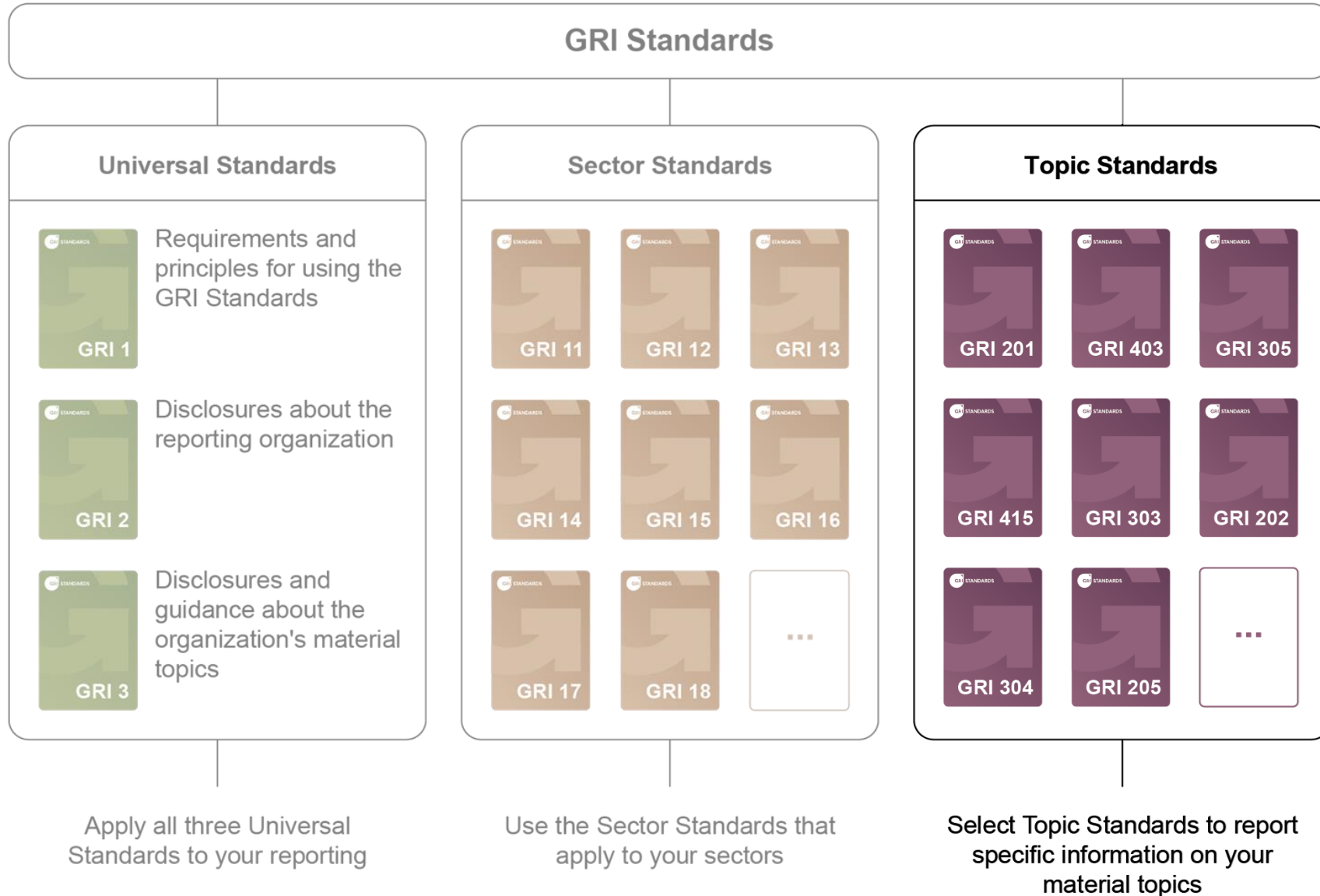
Sector Standards



The GRI Standards



Topic Standards





GRI 1: Foundation 2021

Overview of contents

1. Purpose and system of GRI Standards
2. Key concepts
3. Reporting in accordance with the GRI Standards
4. Reporting principles
5. Additional recommendations for reporting

Key concepts in the GRI Standards



IMPACT

the effect an organization has or could have on the economy, environment, or people, including on their human rights, as a result of its activities or business relationships

MATERIAL TOPICS

topics that reflect the organization's most significant impacts on the economy, environment, and people, including impacts on their human rights

Key concepts in the GRI Standards



DUE DILIGENCE

process to identify, prevent, mitigate, and account for how the organization addresses its actual and potential negative impacts

STAKEHOLDER

individual or group that has an interest that is affected or could be affected by the organization's activities

Report in accordance with the GRI Standards

- Replaces Core and Comprehensive options
- Comprehensive picture of an organization's most significant impacts on the economy, environment, and people, and how it manages these impacts

Report with reference to the GRI Standards

- If the organization cannot comply with all the requirements for reporting in accordance with the GRI Standards
- If the organization reports information about specific topics for specific purposes

Reporting in accordance with the GRI Standards



Requirements

Requirement 1	Apply the reporting principles
Requirement 2	Report the disclosures in GRI 2: General Disclosures 2021
Requirement 3	Determine material topics
Requirement 4	Report the disclosures in GRI 3: Material Topics 2021
Requirement 5	Report disclosures from the GRI Topic Standards for each material topic
Requirement 6	Provide reasons for omission for disclosures and requirements that the organization cannot comply with
Requirement 7	Publish a GRI content index
Requirement 8	Provide a statement of use
Requirement 9	Notify GRI

Reporting principles



Accuracy

Completeness

Balance

Sustainability context

Clarity

Timeliness

Comparability

Verifiability

Aligning sustainability reporting with other reporting

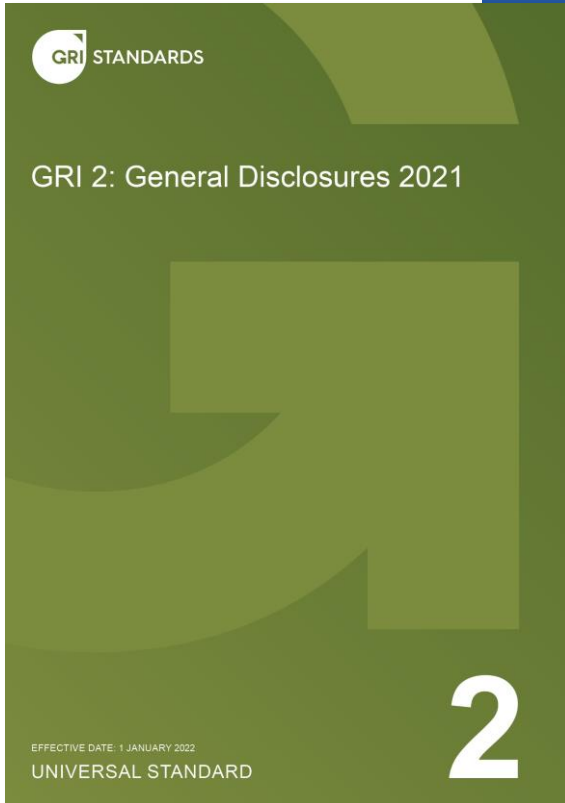
- Recommends aligning sustainability reporting with other statutory and regulatory reporting, in particular financial reporting
- This includes reporting information for the:
 - same reporting period
 - same group of entities

 See Disclosures 2-2 and 2-3 in *GRI 2*

Enhancing the credibility of sustainability reporting

- Describes the methods an organization can use to enhance the credibility of its sustainability reporting
- Incorporates guidance on external assurance, internal controls, and stakeholder or expert panels

 See Disclosure 2-5 in *GRI 2*



GRI 2: General Disclosures 2021

Overview of contents

1. The organization and its reporting practices
2. Activities and workers
3. Governance
4. Strategy, policies, and practices
5. Stakeholder engagement

Disclosure 2-5 External assurance

REQUIREMENTS

The organization shall:

- a. describe its policy and practice for seeking external assurance, including whether and how the highest governance body and senior executives are involved;
- b. if the organization's sustainability reporting has been externally assured:
 - i. provide a link or reference to the external assurance report(s) or assurance statement(s);
 - ii. describe what has been assured and on what basis, including the assurance standards used, the level of assurance obtained, and any limitations of the assurance process;
 - iii. describe the relationship between the organization and the assurance provider.



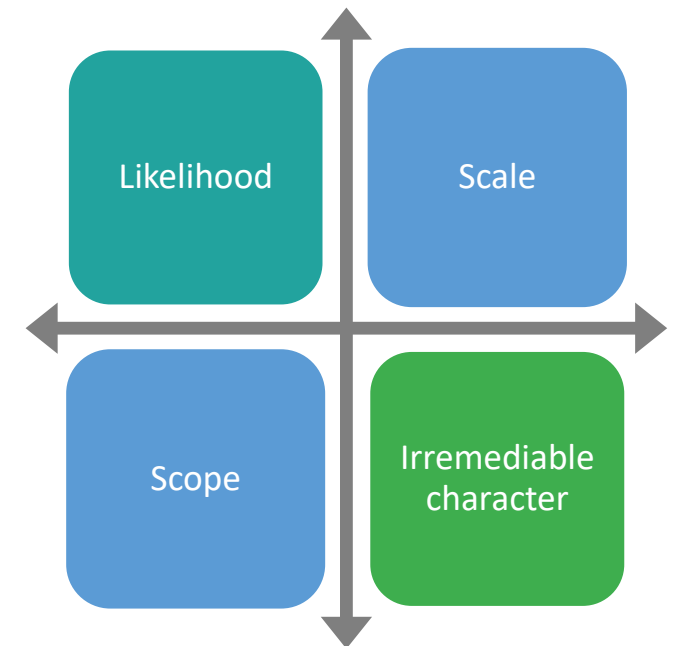
GRI 3: Material Topics 2021

Materiality in the context of the GRI Standards

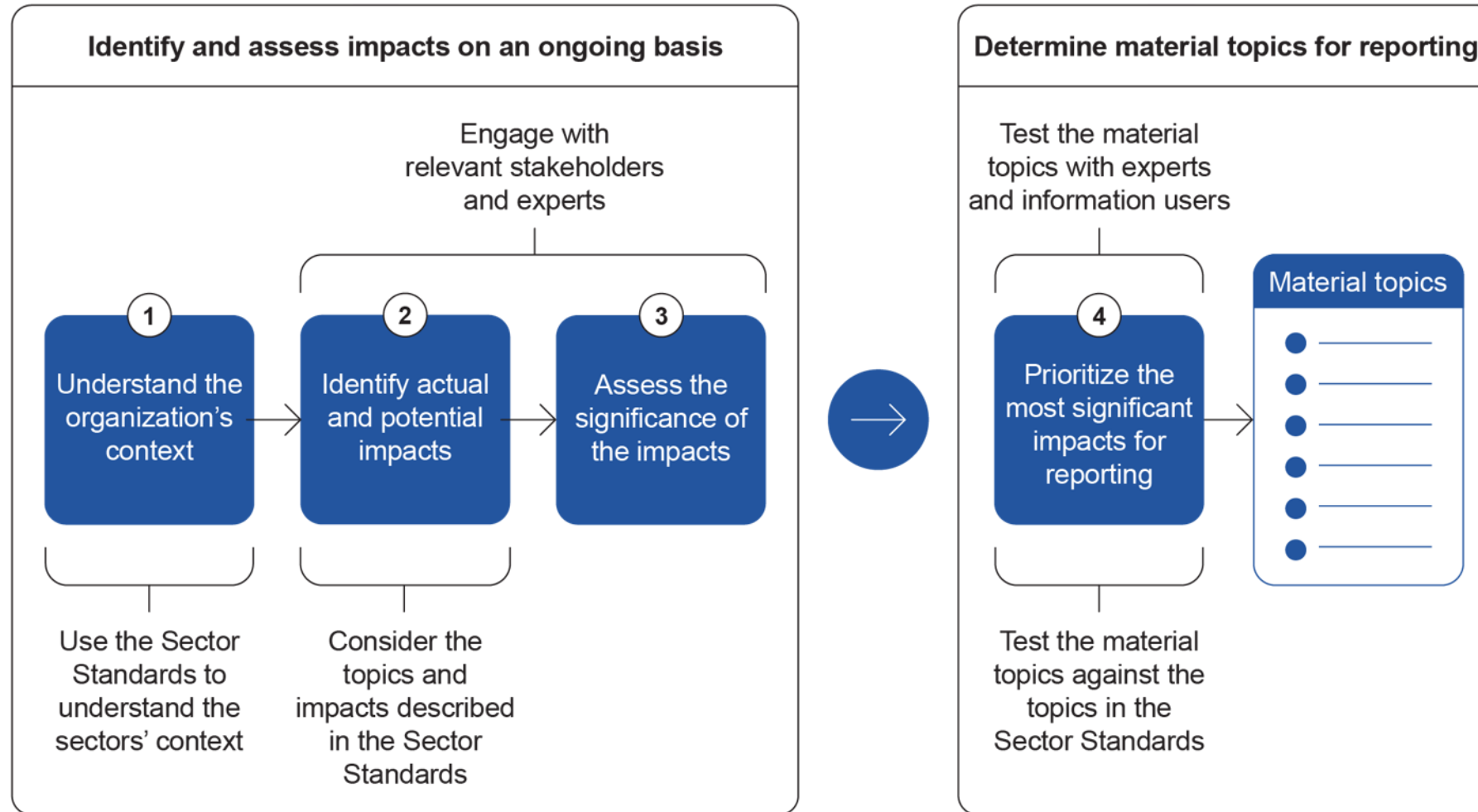


Material topics represent the organization's **most significant impacts** on the economy, environment, and people

- ⇒ The **significance of an impact** is determined by severity, and for a potential impact, likelihood
- For negative impacts, severity is determined by scale, scope & irremediable character
 - For positive impacts, scale & scope are considered
 - Significance of an impact is assessed in relation to other impacts
- ⇒ Organizations can be involved with impacts through its **activities** or as a result of its **business relationships**

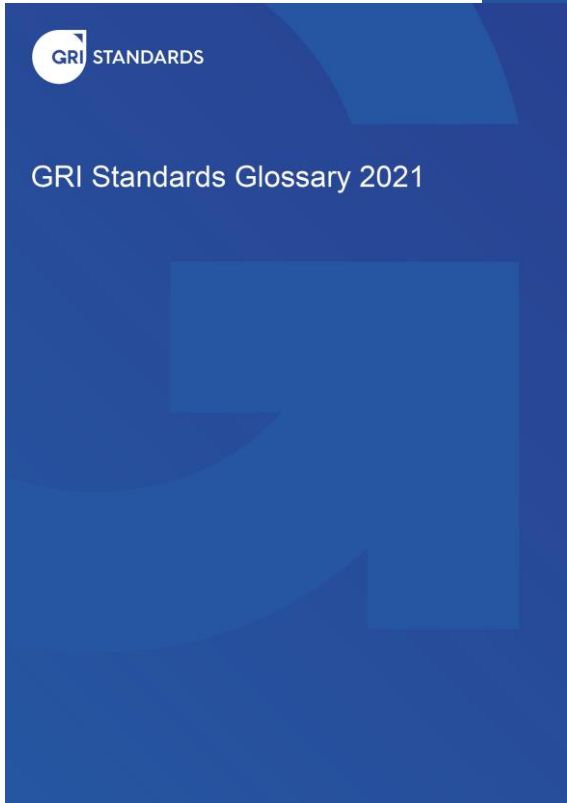


Guidance to determine material topics



Disclosures on material topics

- Disclosure 3-1 Process to determine material topics
- Disclosure 3-2 List of material topics
- Disclosure 3-3 Management of material topics

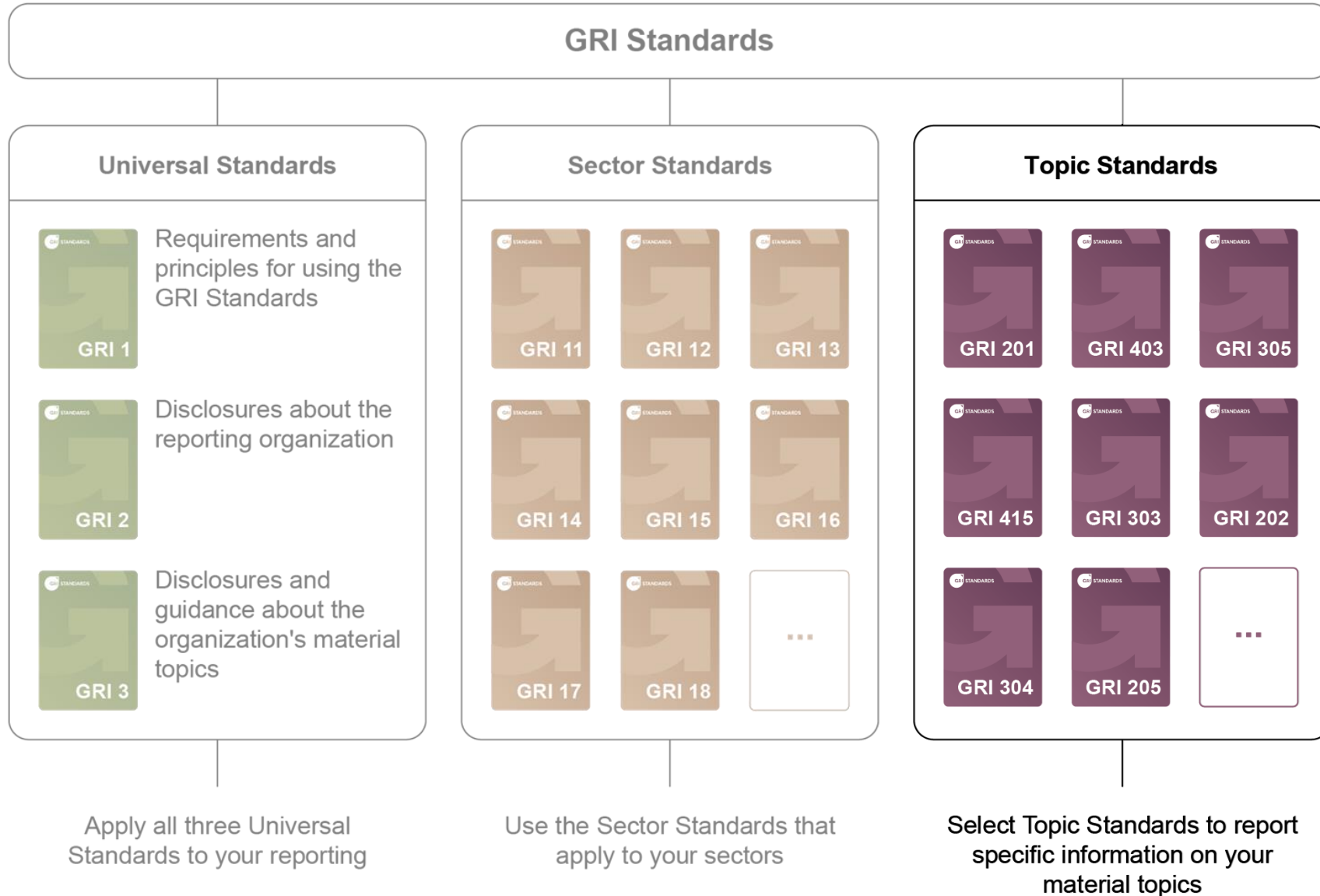


Glossary

The GRI Standards



Topic Standards



GRI Topic Standards



201 Economic Performance	305 Emissions	409 Forced or Compulsory Labor
202 Market Presence	306 Waste	410 Security Practices
203 Indirect Economic Impacts	308 Supplier Environmental Assessment	411 Rights of Indigenous Peoples
204 Procurement Practices	401 Employment	413 Local Communities
205 Anti-corruption	402 Labor/Management Relations	414 Supplier Social Assessment
206 Anti-competitive Behavior	403 Occupational Health and Safety	415 Public Policy
207 Tax	404 Training and Education	416 Customer Health and Safety
301 Materials	405 Diversity and Equal Opportunity	417 Marketing and Labeling
302 Energy	406 Non-discrimination	418 Customer Privacy
303 Water and Effluents	407 Freedom of Association and Collective Bargaining	
304 Biodiversity	408 Child Labor	

Example

GRI 305: Emissions 2016

- **Disclosure 305-1** Direct (Scope 1) GHG emissions
- **Disclosure 305-2** Energy indirect (Scope 2) GHG emissions
- **Disclosure 305-3** Other indirect (Scope 3) GHG emissions
- **Disclosure 305-4** GHG emissions intensity
- **Disclosure 305-5** Reduction of GHG emissions
- **Disclosure 305-6** Emissions of ozone-depleting substances (ODS)
- **Disclosure 305-7** Nitrogen oxides (NOx), sulfur oxides (SOx), and other significant air emissions



Disclosure 305-4 GHG emissions intensity

REQUIREMENTS

The reporting organization shall report the following information:

- GHG emissions intensity ratio for the organization.
- Organization-specific metric (the denominator) chosen to calculate the ratio.
- Types of GHG emissions included in the intensity ratio; whether direct (Scope 1), energy indirect (Scope 2), and/or other indirect (Scope 3).
- Gases included in the calculation; whether CO₂, CH₄, N₂O, HFCs, PFCs, SF₆, NF₃, or all.

Compilation requirements

2.7 When compiling the information specified in Disclosure 305-4, the reporting organization shall:

- calculate the ratio by dividing the absolute GHG emissions (the numerator) by the organization-specific metric (the denominator);
- if reporting an intensity ratio for other indirect (Scope 3) GHG emissions, report this intensity ratio separately from the intensity ratios for direct (Scope 1) and energy indirect (Scope 2) emissions.

RECOMMENDATIONS

2.8 When compiling the information specified in Disclosure 305-4, the reporting organization should, where it aids transparency or comparability over time, provide a breakdown of the GHG emissions intensity ratio by:

- business unit or facility;
- country;
- type of source;
- type of activity.

GUIDANCE

Guidance for Disclosure 305-4

Intensity ratios can be provided for, among others:

- products (such as metric tons of CO₂ emissions per unit produced);
- services (such as metric tons of CO₂ emissions per function or per service);
- sales (such as metric tons of CO₂ emissions per sales).

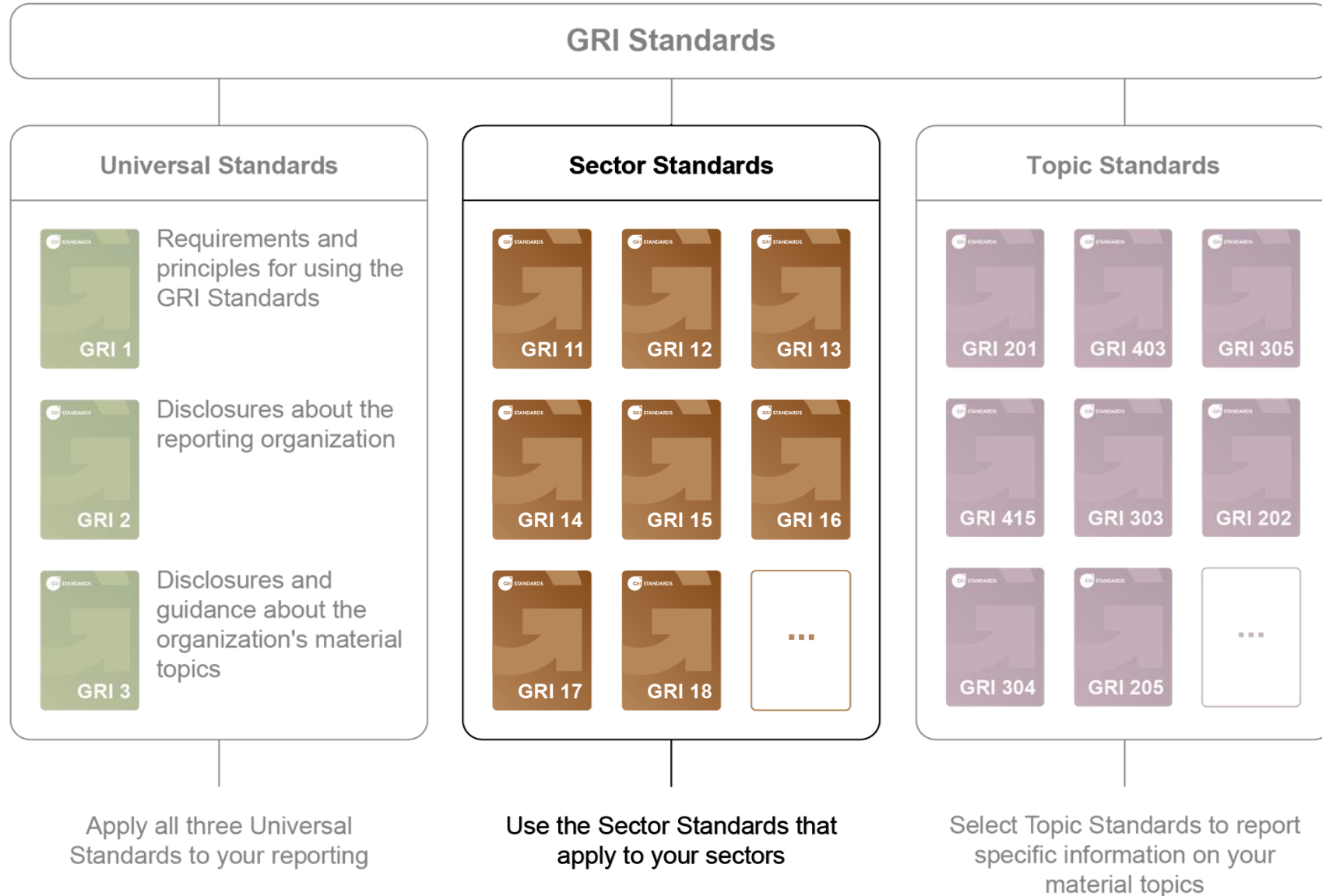
Organization-specific metrics (denominators) can include:

- units of product;
- production volume (such as metric tons, liters, or MWh);
- size (such as m² floor space);
- number of full-time employees;
- monetary units (such as revenue or sales).

The GRI Standards



Sector Standards



GRI Sector Standards

Each Sector Standard:



Describes the **context for the sector**



Describes topics that are **likely material** for an organization in the sector based on the sector's most significant impacts



Lists the disclosures identified as relevant for reporting on those topics by the sector
– leveraging primarily the GRI Topic Standards

Oil and Gas

Example: Likely materials topics

Topic 11.1	GHG emissions	Topic 11.12	Forced labor and modern slavery
Topic 11.2	Climate adaptation, resilience and transition	Topic 11.13	Freedom of association and collective bargaining
Topic 11.3	Air emissions	Topic 11.14	Economic impacts
Topic 11.4	Biodiversity	Topic 11.15	Local communities
Topic 11.5	Waste	Topic 11.16	Land and resource rights
Topic 11.6	Water and effluents	Topic 11.17	Rights of indigenous peoples
Topic 11.7	Closure and rehabilitation	Topic 11.18	Conflict and security
Topic 11.8	Asset integrity and critical incident management	Topic 11.19	Anti-competitive behavior
Topic 11.9	Occupational health and safety	Topic 11.20	Anti-corruption
Topic 11.10	Employment practices	Topic 11.21	Payments to governments
Topic 11.11	Non-discrimination and equal opportunity	Topic 11.22	Public policy

Oil and Gas Example: Sector- specific reporting

Reporting on GHG emissions

If the organization has determined GHG emissions to be a material topic, this sub-section lists the disclosures identified as relevant for reporting on the topic by the oil and gas sector.

STANDARD	DISCLOSURE	SECTOR STANDARD REF. NO.
Management of the topic		
GRI 3: Material Topics 2021	Disclosure 3-3 Management of material topics	11.1.1
	<i>Additional sector recommendations</i> Describe actions taken to manage flaring and venting and the effectiveness of actions taken.	←
Topic Standard disclosures		
GRI 302: Energy 2016	Disclosure 302-1 Energy consumption within the organization	11.1.2
	Disclosure 302-2 Energy consumption outside of the organization	11.1.3
	Disclosure 302-3 Energy intensity	11.1.4
GRI 305: Emissions 2016	Disclosure 305-1 Direct (Scope 1) GHG emissions	11.1.5
	<i>Additional sector recommendations</i> - Report the percentage of gross <u>direct (Scope 1) GHG emissions</u> from CH₄. - Report the breakdown of gross direct (Scope 1) GHG emissions by type of source (stationary combustion, process, fugitive).²	←
	Disclosure 305-2 Energy indirect (Scope 2) GHG emissions	11.1.6
	Disclosure 305-3 Other indirect (Scope 3) GHG emissions	11.1.7
	Disclosure 305-4 GHG emissions intensity	11.1.8

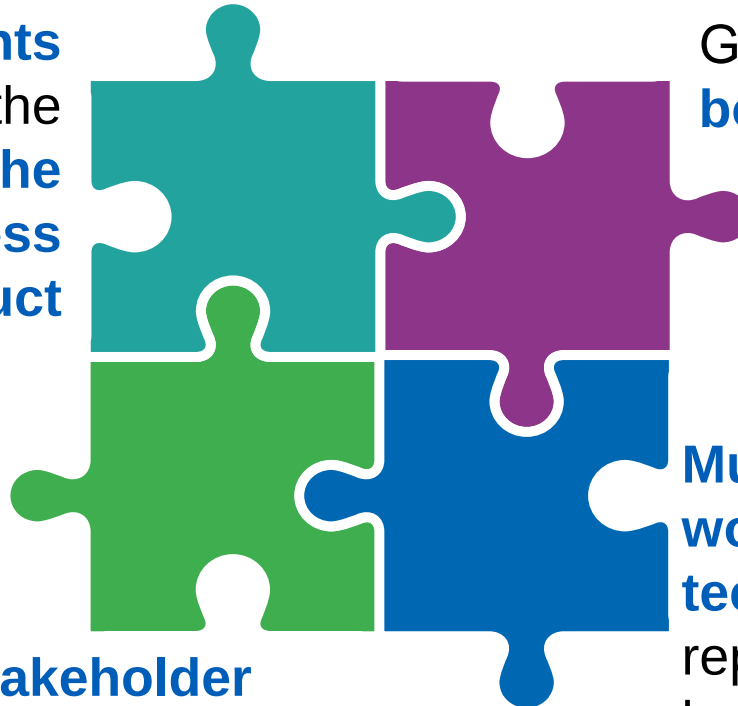


Process for developing GRI Standards

Developing the GRI Standards



Shaped by international
authoritative instruments
that underpin the
expectations of the
responsible business
conduct



Global **stakeholder
input** and **public
exposure**

Governed by a **transparent, due
process process** overseen by the
Global Sustainability Standards Board,
GRI's **independent Standard-setting
body**

**Multi-stakeholder expert
working groups and
technical committees**, with
representatives from
business, civil society, labor,
investors & mediating
institutions.

Developing the GRI Standards



GRI's independent standard-setting body

Global Sustainability Standards Board

- The Global Sustainability Standards Board (GSSB) is responsible for setting globally accepted standards for sustainability reporting. The GSSB operates under a Terms of Reference to oversee the development of the GRI Standards according to a formally defined due process protocol.
- The GSSB members represent the best combination of technical expertise, diversity of experience, and multi-stakeholder perspective, and perform their work according to a formally defined due process, exclusively in the public interest.
- Final Standards may be issued by the GSSB only after the Due Process Oversight Committee (DPOC) is satisfied that due process has been followed in their development in the public interest.

Developing the GRI Standards

Example of technical committee composition: GRI 306 Biodiversity

Business enterprises

- ConocoPhilips
- L'Occitane
- DSM
- Rio Tinto

Civil society

- Bird Life International
- WWF
- IUCN
- Rainforest Alliance
- Marine Watch International

Mediating institutions

- CDP
- Deloitte
- Global Balance
- Lancaster University
- Union for Ethical Biotrade
- UNEP – World Conservation Monitoring Centre

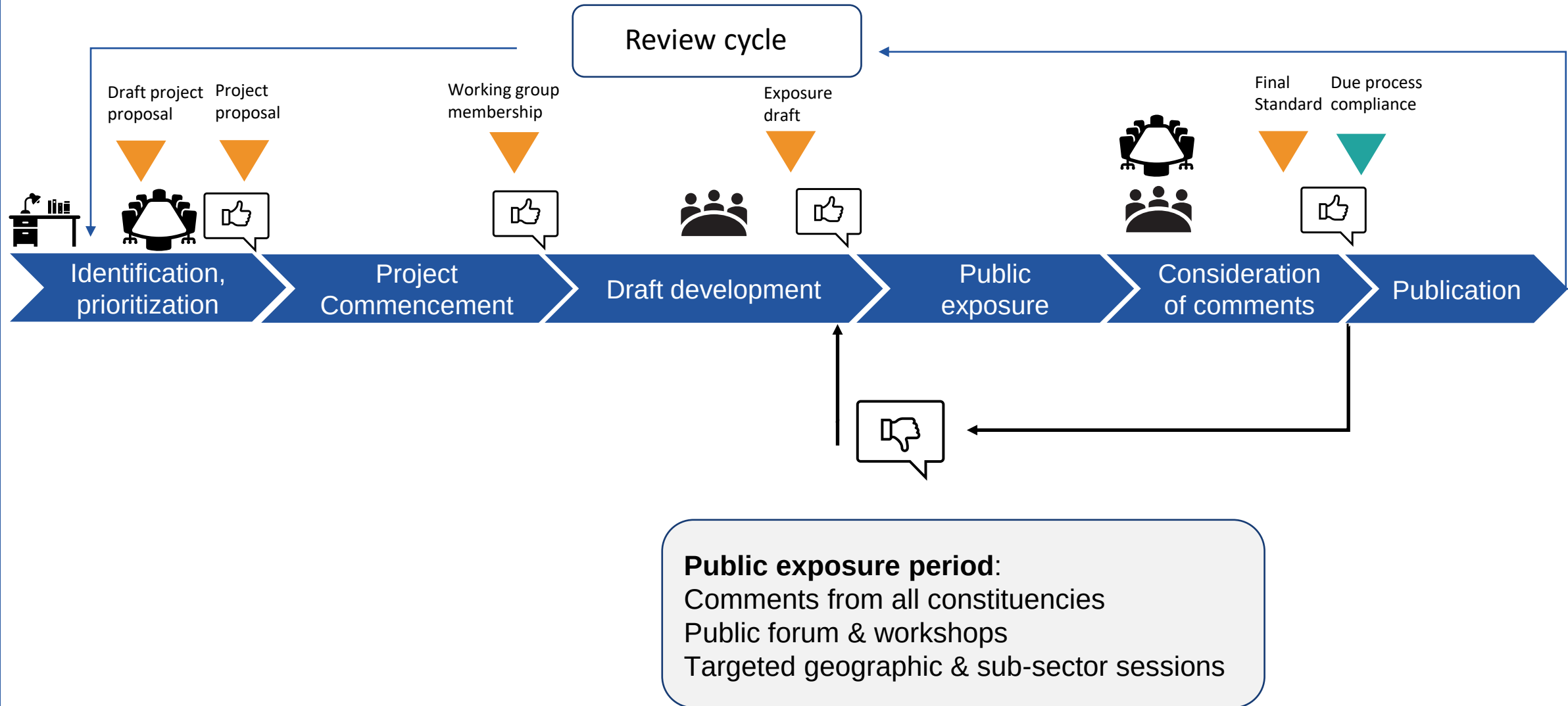
Investment institutions

- Partnership for biodiversity accounting financials (PBAF)
- World Bank

Labor

- Public Services International

Developing the GRI Standards





GSSB work program 2023-2025 – outlook

Topic Standards projects



Recently Published	Ongoing Revisions 2022	2023-2025
Water and Effluents 2018	304 Biodiversity	203 Indirect Economic Impacts
OHS 2018	302 Energy	204 Procurement Practices
Tax 2019	305 Emissions	205 Anti-corruption
Waste 2020	XXX Climate change	206 Anti-competitive Behaviour
Universal Standards 2021	201 Economic Performance	301 Materials
	202 Market Presence	308 Supplier Environmental Assessment
	401 Employment	406 Non-discrimination
	402 Labor/Management Relations	410 Security Practices
	404 Training and Education	411 Rights of Indigenous Peoples
	405 Diversity and Equal Opportunity	413 Local Communities
	407 Freedom of Association and Collective Bargaining	415 Public Policy
	408 Child Labor	416 Customer Health and Safety
	409 Forced or Compulsory Labor	417 Marketing and Labeling
	414 Supplier Social Assessment	418 Customer Privacy

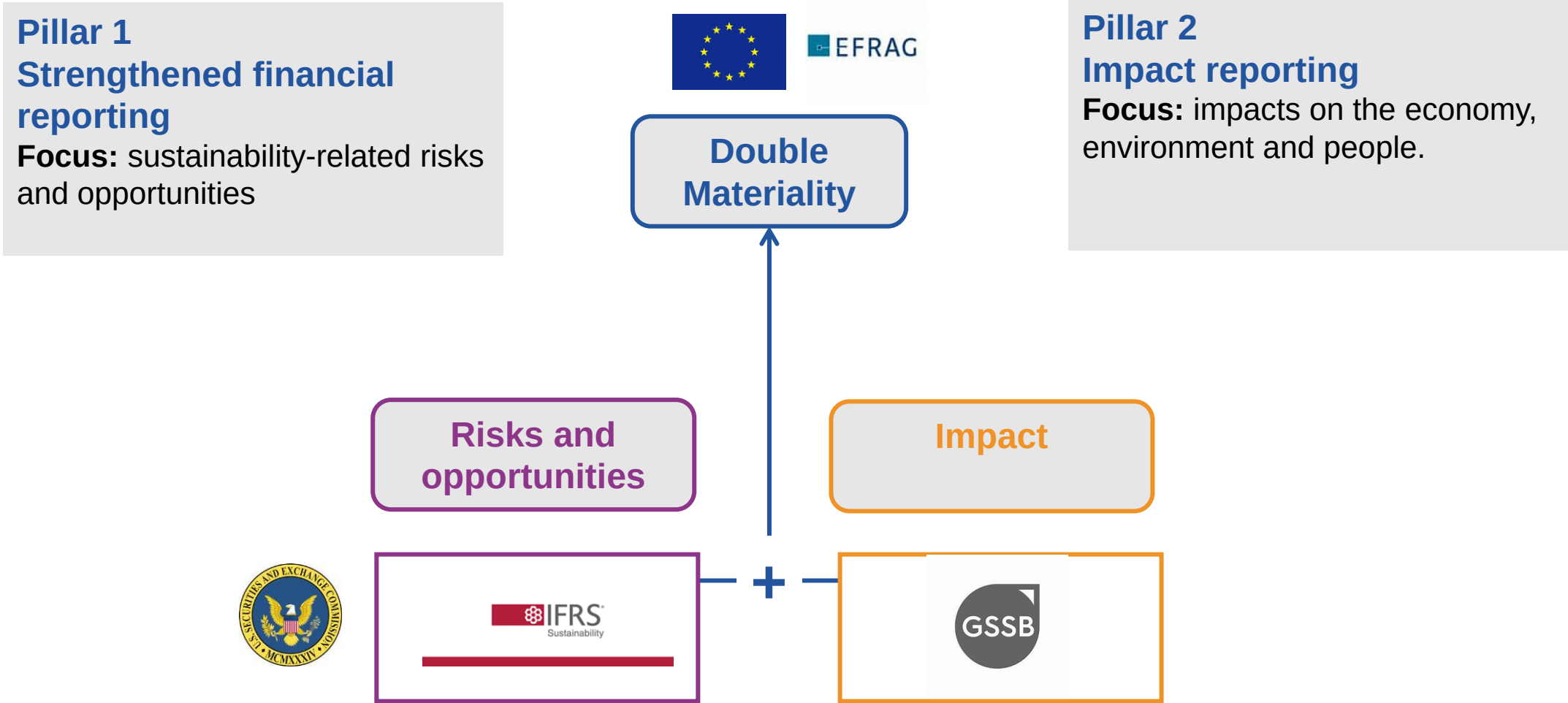
Sector Standards projects



- | | | | | |
|---|---|--|---|---|
| <ul style="list-style-type: none">• Oil & gas• Coal• Agriculture, aquaculture & fishing | <ul style="list-style-type: none">• Mining• Food & beverage• Textiles & apparel• Banking• Insurance• Asset management• Utilities• Renewable energy• Forestry• Metal processing | <ul style="list-style-type: none">• Construction materials• Aerospace & defense• Automotive• Construction• Chemicals• Machinery & equipment• Pharmaceuticals• Electronics | <ul style="list-style-type: none">• Media & communication• Software• Real estate• Transportation infrastructure• Shipping• Trucking• Airlines• Trading, distribution and logistics• Packaging | <ul style="list-style-type: none">• Educational services• Household durable• Managed health care• Medical equipment & services• Retail• Security services & correctional facilities• Restaurants• Commercial services• Non-profit organizations |
|---|---|--|---|---|

Complementarity, alignment and interoperability

The future of corporate reporting- two pillars





Q&A

THANK YOU



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